CHAPTER **11**

Privity

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[11.10] A person who is not a party to a contract can neither enforce the contract nor incur any obligations under it. This is known as the doctrine of privity of contract. Although the privity rule was once described as one of the fundamental principles in the laws of England,[1] it has been roundly criticised, is subject to significant exceptions, can be circumvented in numerous ways and has been substantially abrogated in numerous jurisdictions. The privity rule is distinct from the requirement discussed in Chapter 4 that consideration must move from the promisee. In order to sue on a promise, the plaintiff must not only have given consideration in return for that promise but must also be a *promisee*. The plaintiff must, in other words, be a party to the contract.

BENEFITS

[11.20] The privity doctrine principally operates to prevent non-parties from enforcing contractual promises that benefit them. A contract might benefit a third party by way of a positive or a negative stipulation. First, one of the parties might undertake a positive obligation to confer a benefit on the third party. A might, for example, enter into a contract with B under

1 *Dunlop Pneumatic Tyre Co Ltd v Selfridge Co Ltd* [1915] AC 847.

which A agrees to pay money to C in return for B's provision of services to A. B might enter into such an arrangement in order to settle a debt owing to C or because C is a relative of B's or is a company related to B. Secondly, a contract between A and B might confer a benefit on C in the form of a negative stipulation. For example, A (the owner of land) might engage B (a builder) to perform building work for A on the understanding that B will subcontract some carpentry work to C. The contract between A and B might then stipulate that A will not sue B or C in respect of any negligence committed in the course of the building work.

The privity doctrine does not prevent contracting parties from conferring a benefit on a third party, but simply prevents the third party from enforcing the contract.[2] In the first of the examples above, if B performs the agreed services, C could not sue A to recover the money A has agreed to pay to C. B, a party to the contract, may enforce the contract but, as we will see, the remedies available to B may not be adequate to ensure that C obtains the benefit of A's promise. In the second example, if A sues C in respect of negligent work, C could not rely on the contract as a defence.

Coulls v Bagot's Executor and Trustee Co Ltd

[11.30] The privity rule was applied by the High Court in *Coulls v Bagot's Executor and Trustee Co Ltd*.[3] The case concerned an agreement by which Arthur Coulls granted to a company the right to quarry stone from his property in return for the payment of certain royalties. The agreement was headed "Agreement between Arthur Leopold Coulls and O'Neil Construction Proprietary Limited" but was signed by Arthur Coulls and his wife Doris Coulls, as well as L O'Neil on behalf of the company. After stipulating the royalties payable, the agreement provided that Arthur Coulls "authorised" the company to pay all moneys connected with the agreement to Doris Coulls and himself "as joint tenants". When Arthur Coulls died, his executor sought directions from the court as to whether the company was entitled or bound to pay the royalties to Doris Coulls. A majority of the High Court held that the company owed no contractual obligation to Doris Coulls because she was not a party to the agreement.[4] The principal indication of this was that the contract expressly purported to be made between Arthur Coulls and the company.[5] Moreover, the company made no express promise to pay royalties to Doris Coulls and it was not possible to imply such a promise.[6] The fact that Doris Coulls had signed the agreement did not make her a party. The authorisation clause took effect as a revocable mandate to the company to pay the royalties to Arthur and Doris Coulls, and that mandate lapsed on the death of Arthur Coulls.

Barwick CJ and Windeyer J dissented, considering that Doris Coulls should be regarded as a party to the agreement.[7] Barwick CJ held that Doris Coulls's signature of the agreement was explicable only on the basis that she was intended to be a party to the agreement. On that view, the company's promise to pay royalties was made to Mr and Mrs Coulls jointly, with the

2 In *Hobart International Airport Pty Ltd v Clarence City Council* [2022] HCA 5, (2022) 276 CLR 519, the High Court recognised that in exceptional circumstances a third party will have standing to seek a declaration as to the meaning of a contract.

3 *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460. See also *Wilson v Darling Island Stevedoring and Lighterage Co Ltd* (1956) 95 CLR 43.

4 Compare Greig and Davis, *The Law of Contract* (1987), p 1032.

5 *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460, 482–3, 486.

6 *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460, 487.

7 *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460, 476, 490–3.

intention that the royalties would be paid to them jointly while they both lived and thereafter to the survivor. Thus, according to the minority judges, following the death of Arthur Coulls, Doris Coulls was solely entitled to enforce the contract.

Trident General Insurance Co Ltd v McNiece Bros Pty Ltd

[11.40] The ability of a third party to enforce a contractual promise was closely scrutinised by the High Court in *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd*.[8] McNiece Bros Pty Ltd (McNiece) sought to take the benefit of an insurance contract made between Trident and Blue Circle Southern Cement Ltd (Blue Circle). McNiece was the principal contractor for construction work at a plant owned by Blue Circle. Under Blue Circle's contract of insurance with Trident General Insurance Co Ltd (Trident), Trident agreed to indemnify "The Assured" against liability in respect of injury to non-employees. The contract defined "The Assured" to mean Blue Circle, all of its related companies and all contractors and suppliers. In 1979, Hammond, a crane driver working under the direction of McNiece but employed by another company, sued McNiece for damages in respect of personal injuries. McNiece sought indemnity from Trident under the terms of the insurance contract made with Blue Circle. Trident argued that McNiece had no right to sue on that contract since it was not a party to it and gave no consideration.

After these events occurred, the *Insurance Contracts Act 1984* (Cth) was passed by the Commonwealth Parliament. On the recommendation of the Australian Law Reform Commission, this Act specifically provides that a person who is covered by a general insurance policy can recover from the insurer notwithstanding that they are not a party to the contract.[9] The Act does not apply to a contract of insurance made before its commencement, such as that between Trident and Blue Circle.[10] McNiece therefore had to rely on common law principles.

The trial judge held that McNiece was entitled to enforce the contract because it had been made by Blue Circle as McNiece's agent.[11] The New South Wales Court of Appeal did not agree that Blue Circle had contracted as the agent of McNiece, but upheld the decision on the basis that an exception to the privity rule should be recognised in the case of insurance contracts. Commercial convenience and practice demanded it, and the common law should "proceed in parallel fashion with statutory reforms" such as s 48 of the *Insurance Contracts Act 1984* (Cth). McNiece also succeeded in the High Court, by 5-2, though the judges deciding in McNiece's favour gave different reasons for Trident's liability.

Mason CJ and Wilson J noted that both the privity rule and the rule that only a party who has provided consideration for a promise can enforce it[12] "have been under siege throughout the common law world".[13] These rules have been criticised on substantial grounds, they are not accepted in most American states, they have been eroded by statute and they have the capacity to cause injustice.[14] Mason CJ and Wilson J considered that the High Court had a responsibility to reform unjust rules, even when they are well entrenched:

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8 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107.

9 *Insurance Contracts Act 1984* (Cth), s 48.

10 *Insurance Contracts Act 1984* (Cth), s 4(1).

11 See [11.80].

12 See [4.80].

13 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 116.

14 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 116–23.

> Regardless of the layers of sediment which may have accumulated, we consider that it is the responsibility of this court to reconsider in appropriate cases common law rules which operate unsatisfactorily and unjustly.[15]

Their Honours even went so far as to suggest a way in which the law relating to contracts to benefit third parties could be modified:

> A simple departure from the traditional rules would lead to third party enforceability of such a contract, subject to the preservation of a contracting party's right to rescind or vary, in the absence of reliance by the third party to his detriment, and to the availability in an action by the third party of defences against a contracting party.[16]

Ultimately, however, Mason CJ and Wilson J limited themselves to the question "whether the old rules apply to a policy of insurance"[17] and found that they did not. If "the old rules" did apply to insurance contracts, Mason CJ and Wilson J said, they would cause injustice because the likelihood of reliance on insurance policies by third parties is so great. Third parties such as McNiece order their affairs and refrain from making their own arrangements in the knowledge that another person has insured against a particular risk.[18]

For similar reasons, Toohey J found that neither the privity rule nor the rule requiring consideration to move from the promisee should prevent enforcement of a contract of insurance by a third party in these circumstances. According to Toohey J, the "insurance exception" to the privity rule should only apply where it may be expected that the third party would order their affairs by reference to the insurance policy.[19] It has, however, been suggested in subsequent cases that the distinction between the rule formulated by Mason CJ and Wilson J on the one hand and the rule formulated by Toohey J on the other may be "illusory".[20]

Gaudron J found for McNiece on the basis that a promisor who accepts consideration for a promise to benefit a third party is unjustly enriched at the expense of the third party if the promise is not fulfilled. In order to prevent unjust enrichment, Gaudron J said, the third party is entitled to enforce an obligation imposed by law, which will ordinarily correspond with the contractual obligation.[21] Gaudron J's reasoning has been "extensively" and "properly" criticised and has been held not to represent the law in Australia.[22] As we saw in Chapter 10, unjust enrichment is not a freestanding principle of general application. Even if it was, any enrichment of the promisor (Trident) is at the expense of the party who provided the consideration (Blue Circle), not the promisee (McNiece). Allowing the promisee to enforcing the contract would not reverse any transfer of value.

Deane J held that the terms of the contract in question indicated that Blue Circle held its rights against Trident on trust for non-party beneficiaries, including McNiece. He would have given

15 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 123. See, to similar effect, *Fraser River Pile & Dredge Ltd v Can-Drive Services Ltd* [1999] 3 SCR 108, [27].

16 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 123.

17 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 123.

18 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 123–4.

19 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 172.

20 See *Rail Corporation of New South Wales v Fluor Australia Pty Ltd* [2008] NSWSC 1348, [171]–[177].

21 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 176–7.

22 *Benson v Rational Entertainment Enterprises Ltd* [2018] NSWCA 111, [117]–[124]. See also *Rail Corporation of New South Wales v Fluor Australia Pty Ltd* [2008] NSWSC 1348, [186].

McNiece leave to plead a trust and to join Blue Circle as a party to the action so that any such trust could be enforced.[23]

Brennan and Dawson JJ dissented entirely from the conclusion that McNiece should be entitled to enforce the contract. Brennan J held that there was no basis in policy or logic for any special principle allowing third parties to enforce contracts of insurance.[24] Nor was there any basis for overruling the doctrine of privity; his Honour held that any injustices caused by the rule could be overcome by developments in the law of trusts, estoppel and damages.[25] Dawson J held that the doctrine of privity was "inescapable having regard to the place which promise occupies in our law of contract".[26] The hardship caused by the rule can be alleviated by a generous approach to inferring that the promisee holds rights under the contract on trust for the third party.[27] Like Brennan J, Dawson J considered that there was no conceptual basis for exempting only contracts of insurance from the privity doctrine. Not only was the doctrine of privity too well entrenched to be overturned, but this would require the resolution of numerous difficult issues of policy which it would be inappropriate for a court to resolve.[28]

[11.50] In subsequent cases, Australian courts have generally resisted the temptation to widen by analogy the exception recognised by Mason CJ and Wilson and Toohey JJ.[29] An exception is *Gate Gourmet Australia Pty Ltd (in liq) v Gate Gourmet Holding AG*.[30] In that case Einstein J was willing to take the "relatively modest incremental step" of extending the principle to a contract of indemnity in the form of a letter of comfort. A subsidiary company (in liquidation) sought to enforce a promise of financial support issued by its ultimate parent company to its immediate holding company. The letter had been provided to satisfy an auditing requirement. Under the "Letter of Support", the parent promised to provide the financial support necessary to enable the holding company "and its controlled entities" (which included the plaintiff subsidiary) to meet their financial obligations as they fell due. Einstein J held that the subsidiary company was a party to the contract but also held that, if that conclusion was incorrect, the subsidiary company could nevertheless enforce the promise. The exception to the privity rule recognised by Mason CJ and Wilson and Toohey JJ in *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* could be extended, Einstein J said, because of the similarities between contracts of insurance and contracts of indemnity, and because the parties had a common intention that the subsidiary company would obtain the benefit of the promises contained in the letter and it had ordered its affairs accordingly.[31] Alternatively, Einstein J held that the holding company held the benefit of the parent company's promise on trust for the subsidiary.[32]

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23 See [11.110].

24 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 125–8.

25 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 139–40.

26 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 155.

27 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 156.

28 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 162. See [11.220].

29 *Mizzi v Reliance Financial Services Pty Ltd* [2007] NSWSC 37, [71]; *Silver v Dome Resources NL* (2007) 62 ACSR 539, 567. For a novel application of the "Trident exception", see *Merrell Associates Ltd v HL (Qld) Nominees Pty Ltd* [2010] SASC 155.

30 *Gate Gourmet Australia Pty Ltd (in liq) v Gate Gourmet Holding AG* [2004] NSWSC 149, [255].

31 *Gate Gourmet Australia Pty Ltd (in liq) v Gate Gourmet Holding AG* [2004] NSWSC 149, [254]–[255].

32 *Gate Gourmet Australia Pty Ltd (in liq) v Gate Gourmet Holding AG* [2004] NSWSC 149, [256].

In *Central Coast Council v Norcross Pictorial Calendars Pty Ltd*,[33] the New South Wales Court of Appeal declined to follow the reasoning of Einstein J in relation to the extension of the insurance exception to contracts of indemnity. Bathurst CJ (with whom Macfarlan JA and Gleeson JA agreed) held that it was not appropriate for an intermediate appellate court to extend the exception recognised by Mason CJ and Wilson J and Toohey J in *Trident* beyond insurance contracts, especially since only a minority of the High Court in *Trident* recognised the exception.[34] Support for a cautious approach to the development of exceptions was also expressed by Edelman and Steward JJ in *Hobart International Airport Pty Ltd v Clarence City Council*.[35] The High Court in that case (by 5-2 majority) recognised that in exceptional circumstances a third party may have standing to seek declaratory relief as to the meaning of a contract. In their dissenting judgment, Edelman and Steward JJ expressed caution about the development of exceptions, both to the privity rule itself and to the rule that a non-party generally has no standing to seek a declaration as to the meaning of a contract. Their Honours observed that "the growth of exceptions without an underlying rationale can overwhelm a coherent legal rule" if the exceptions do not "prove the rule" by falling outside the rationale for the rule.[36]

The Supreme Court of Canada has recognised the injustice of the privity rule and has developed a "principled exception" of general application. The exception applies whenever (a) the parties to a contract intended to extend the benefit in question to the third party seeking to rely on the contractual provisions, and (b) the activities performed by the third party seeking to rely on the contractual provision are the very activities contemplated as coming within the scope of the contract.[37] In *London Drugs Ltd v Kuehne & Nagel International Ltd*, employees of a warehouse company negligently damaged goods belonging to their employer's customer. When the customer sued them for damages, the employees were held to be entitled to take advantage of a limitation of liability clause in the contract between the employer and the customer.

BURDENS

[11.60] The privity doctrine also prevents a contract from imposing a legal burden on a third party. A contract between a manufacturer of goods (A) and a wholesaler (B) cannot restrict the terms on which the goods may be sold by a retailer (C) who purchases the goods from the wholesaler.[38] The contract between A and B cannot impose obligations on C. The principal exception to this is a restrictive covenant affecting land, which can bind subsequent owners of the land.[39] Such a covenant creates an equity, which will bind subsequent owners of the land

33 *Central Coast Council v Norcross Pictorial Calendars Pty Ltd* [2021] NSWCA 75.

34 *Central Coast Council v Norcross Pictorial Calendars Pty Ltd* [2021] NSWCA 75, [158].

35 *Hobart International Airport Pty Ltd v Clarence City Council* [2022] HCA 5; (2022) 276 CLR 519, [123].

36 *Hobart International Airport Pty Ltd v Clarence City Council* [2022] HCA 5; (2022) 276 CLR 519, [123].

37 *London Drugs Ltd v Kuehne & Nagel International Ltd* [1992] 3 SCR 299; *Fraser River Pile & Dredge Ltd v Can-Drive Services Ltd* [1999] 3 SCR 108.

38 *Taddy and Co v Sterious and Co* [1904] 1 Ch 354. A restriction relating to the minimum price at which the goods can be resold will infringe the prohibition against resale price maintenance contained in s 48 of the *Competition and Consumer Act 2010* (Cth).

39 Another exception arises in the case of contracts of bailment. The terms of a contract of bailment will in some circumstances be binding on a sub-bailee who is not a party to that contract: *The Pioneer Container* [1994] 2 AC 324.

who acquire their interest with notice of the covenant. The subsequent owners are bound by "privity of estate", rather than privity of contract. The leading case on this principle is *Tulk v Moxhay*,[40] in which the plaintiff owned land in Leicester Square and several houses around the square. The plaintiff sold the land in the square to Elms, who covenanted for himself, his heirs and assigns not to build on the land. The defendant purchased the land with knowledge of the covenant after it had passed through the hands of several intervening owners. Since the defendant acquired his interest with notice of the restrictive covenant, he was bound by the plaintiff's equity and the plaintiff was able to obtain an injunction to prevent the defendant from building on the land in breach of the covenant. The principle applied in *Tulk v Moxhay* applies only to restrictive covenants and not to positive covenants, such as a promise to keep an adjoining house in good repair.[41] In Australia, the principle has been modified by statute and is subject to certain restrictions.[42]

NON-APPLICATION OF THE PRIVITY RULE

[11.70] There are two circumstances in which it may be possible to show that a party not directly involved in acts of contract formation is nevertheless a party to the contract. These are:

1. where one of the parties who is involved acts as agent for the non-involved party; and
2. where one of the involved parties transfers contractual benefits to the non-involved party by way of an assignment or novation of the contract.

In such circumstances, the non-involved party is in fact a party to the contract and, thus, the privity rule has no application.

Agency

[11.80] The privity rule does not apply if a person promised a benefit under a contract can show that one of the parties involved in the contractual negotiations entered into the contract as their agent. An agent is a person who has power to enter into a contract on behalf of another person (the principal). If A, acting as an agent of C, makes a contract with B, then C is a party to that contract. Agency relationships can be created expressly or by implication. To establish the existence of an agency relationship, it is necessary to show that the principal expressly or impliedly consented to the agent acting on their behalf so as to effect the principal's relations with third parties.[43] In *Pola v Commonwealth Bank of Australia*, Sundberg J said:

> In general, no formality is necessary for the appointment of an agent to act on behalf of his principal … It is only necessary that the principal and agent consent to that relationship … The existence of agency may often be established from the words of the parties and the circumstances of the particular case, and may be implied from prior habits or from a course of dealing between the parties where the agent has repeatedly been permitted to perform similar acts in the past … If the facts fairly disclose that one party is acting for or representing another

40 *Tulk v Moxhay* (1848) 2 Ph 774; 41 ER 1143.

41 *Rhone v Stephens* [1994] 2 AC 310.

42 See Bradbrook and Neave, *Easements and Restrictive Covenants in Australia* (3rd ed, 2011).

43 See *CAN 007 528 207 Pty Ltd v Bird Cameron* (2005) 91 SASR 570, 592–7.

> by the latter's authority, the agency exists … Thus the consent of the principal may be implied where he places another in such a situation that a reasonable man would understand the other to have the principal's authority to act on his behalf, or where the principal's words or conduct, coming to the knowledge of the agent, are such as to lead to the reasonable inference that he is authorising the agent to act for him.[44]

In addition to establishing that an agency relationship exists, it will also be necessary to show that, with respect to the particular transaction under consideration, the agent was purporting to act on behalf of the principal and not solely on their own behalf.[45] Ratification refers to the adoption or confirmation of a contract which was entered into by an agent who did not have prior authority from the principal. Ratification has commonly been relied upon to avoid the application of the privity rule in relation to limitation of liability clauses in contracts of carriage. Contracts for the carriage of goods commonly contain a clause exempting or limiting liability for loss or damage to the goods. Such clauses typically extend the exclusion or limitation of liability to cover employees, agents and sub-contractors of the carrier, such as stevedores engaged to load and unload the goods. These clauses are sometimes referred to as *Himalaya clauses*.[46] Although clauses of this type can have the effect of saving "grossly negligent people from the normal consequences of their negligence", the courts have exhibited what has been called a "curious, and seemingly irresistible" anxiety to give effect to them.[47] One explanation is that a limitation of liability clause which protects the carrier and its sub-contractors and employees in many cases gives effect to a commercial understanding that the owner of the goods is expected to make their own insurance arrangements. Allowing the owner of the goods to sue a sub-contractor or employee for negligence may have the effect of upsetting the agreed allocation or risk and circumventing the insurance arrangements the parties have put in place.[48]

In order to determine whether a stevedore is entitled, on the basis of agency, to take advantage of an exemption clause contained in a contract of carriage made between a carrier and the owner of goods, courts apply the four-stage test laid down by Lord Reid in *Scruttons Ltd v Midland Silicones Ltd*.[49] Lord Reid suggested that a stevedore is entitled to the benefit of an exemption clause if:

1. the bill of lading (which sets out the terms of the contract of carriage) makes it clear that the stevedore was intended to be protected;
2. the bill of lading makes it clear that the carrier was contracting as agent for the stevedore as well as on its own behalf;
3. either the carrier was authorised to make the contract on behalf of the stevedore or the stevedore subsequently ratified the carrier's actions; and
4. the stevedore provided consideration to the promisor.

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44 *Pola v Commonwealth Bank of Australia* (Sundberg J, 19 December 1997, unreported), 12.

45 *Picwoods Pty Ltd v Panagopoulos* [2004] NSWSC 978, [84]–[85].

46 After *Adler v Dickson (The Himalaya)* [1955] 1 QB 158.

47 *Wilson v Darling Island Stevedoring and Lighterage Co Ltd* (1956) 95 CLR 43, 71.

48 See *London Drugs Ltd v Kuehne & Nagel International Ltd* [1992] 3 SCR 299, 443–6.

49 *Scruttons Ltd v Midland Silicones Ltd* [1962] AC 446.

The High Court and the Privy Council found that these requirements were met in *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)*.[50] That case involved a consignment of razor blades shipped from Canada to Australia. The carrier issued a bill of lading to the consignor of the goods, the terms of which were expressly accepted by the consignee. The bill of lading imposed a one-year time bar on proceedings in respect of loss or damage to the goods. Clause 2 of the bill of lading was a Himalaya clause, extending the benefit of that limitation to servants, agents and independent contractors employed by the carrier. The appellant stevedore was 49 per cent owned by the carrier, commonly acted as its stevedore and was aware of the terms of the bill of lading. The goods were unloaded by the stevedore and placed in its storage shed, from which 33 of the 37 cartons in the consignment were stolen. The consignee sued the stevedore for damages in tort, outside the stipulated time period. The High Court, by a majority of 3-2, held that the stevedore was entitled to the protection of clause 17 but, by a majority of 4-1, held that the stevedore's actions were not covered by the clause. On appeal, the Privy Council held that the stevedore was entitled to rely on the clause as a bar to the consignee's claim.

The consignee conceded that the first two of Lord Reid's requirements were satisfied. In the High Court, Barwick CJ held that the third element was satisfied because the carrier had acted with the authority of the stevedore as its agent in contracting for the stevedore's protection.[51] The stevedore provided consideration by unloading the goods. Mason and Jacobs JJ, on the other hand, treated the protective provisions of the bill of lading as an offer made by the consignee to the stevedore through its agent, the carrier. The stevedore accepted that offer and provided consideration for it by unloading the goods with knowledge of the offer and in reliance on it. On this view, the circumstances gave rise to a unilateral contract between the consignee and the stevedore, rather than a bilateral contract made through the agency of the carrier.[52]

Stephen and Murphy JJ dissented. Stephen J held that the terms of the bill of lading did not support a unilateral contract but could only be construed as a contract "having immediate effect as binding both parties".[53] At the time the agreement was made, the stevedore provided no consideration to support such a contract. The subsequent unloading of the goods could not operate as consideration for the earlier promise.[54] Stephen J also noted that the conclusion that the stevedore was entitled to the benefit of the clause may be inconsistent with the public interest. While fleet-owning nations might wish to protect carriers as fully as possible, the interest of countries that are reliant on ships for import and export trade is to the contrary.

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50 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231 (HC); *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1980) 144 CLR 300 (PC). The Privy Council found the requirements satisfied in an earlier case: *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd (The Eurymedon)* [1975] AC 154. The principle has since been applied by the Supreme Court of Canada: *ITO – International Terminal Operators Ltd v Miida Electronics Inc* [1986] 1 SCR 752.

51 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231, 243.

52 As to unilateral contracts, see [3.30]. The unilateral contract analysis had earlier been employed by the Privy Council in *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd (The Eurymedon)* [1975] AC 154.

53 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231, 257.

54 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231, 257–8.

Australian courts have no reason to accord any "benevolent interpretation" to carriers' exemption clauses.[55] Moreover, Stephen J was concerned that the use of such clauses divorced the power of control over goods from liability for the consequences of irresponsibility or a lack of effective supervision. Consignees bear the consequences of any carelessness in the form of increased insurance premiums, but have no power to control the employees of the stevedores. If the stevedores can escape liability, they have no incentive to exercise effective control and supervision over their employees.[56] Murphy J agreed, noting that the carriage of goods and the overseas stevedoring industry were so enmeshed by restrictive practices that Australian importers have no real freedom in their arrangements. It was therefore a distortion to regard those arrangements as contractual.[57]

On the other hand, it has been argued that the decision in *The New York Star case* "makes eminent commercial sense".[58] Mark Tedeschi argues that the risk of loss should fall on the owner of the goods, since the owner is best placed to insure against loss. The owner knows the nature and true value of the goods and can insure the goods for the entire journey, rather than each person handling the goods having to effect insurance for the period in which they are in control. Freight rates may be lower than they would be if stevedores had to insure against, or take responsibility for, loss or damage to the goods.

The principle applied in *The New York Star case* has been applied in subsequent cases involving the carriage of goods by road[59] and even, in Canada, to the liability of a race official to a contestant.[60] There is no reason why the four requirements articulated by Lord Reid in *Scruttons Ltd v Midland Silicones Ltd* could not be expressed in broader terms, to cover any contractual promise to confer a benefit on a party who is not directly involved in the making of an agreement. It could be said that:

Where

1. a contract makes it clear that a benefit is to be conferred on a beneficiary;
2. the contract makes it clear that the promisee is acting as agent of the beneficiary;
3. the promisee was authorised to enter into the contract on the beneficiary's behalf (or the contract was subsequently ratified); and
4. the beneficiary provided consideration for the promise,

then the beneficiary is a party to the contract and is entitled to enforce it.

Although some view the agency approach as a useful means of circumventing the privity rule,[61] others are less enthusiastic.[62] It is an artificial means of avoiding the doctrine of privity

55 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231, 259.

56 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231, 258.

57 *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd (The New York Star)* (1978) 139 CLR 231, 285.

58 Tedeschi, "Consideration, Privity and Exemption Clauses" (1981) 55 *Australian Law Journal* 876, 879.

59 *Toll (FGCT) Pty Ltd v Alphapharm Pty Ltd* (2004) 219 CLR 165.

60 *Dyck v Manitoba Snowmobile Association Inc* (1981) 5 WWR 97.

61 Lücke, "Exclusion Clauses and Freedom of Contract: Judicial and Legislative Reactions" (1977) 51 *Australian Law Journal* 532.

62 See, eg, *Carrington Slipways Pty Ltd v Patrick Operations Pty Ltd* (1991) 24 NSWLR 745, 747, 754; Malcolm, "The Negligent Pilot and the Himalaya Clause: A Saga of Disagreement" (1993) 67 *Australian Law Journal* 14.

and its application sometimes requires a distortion of the principles of contract formation. In *Celthene Pty Ltd v WKJ Hauliers Pty Ltd*,[63] for example, Yeldham J accepted that a driver provided consideration even though at the time of performance he had not been aware of the existence of the relevant clause.[64]

Assignment and novation

[11.90] A person who is not originally a party to a contract can acquire rights under it by way of assignment. The assignment of contractual rights is a complex area of law which can only briefly be sketched here.[65] An assignment involves the transfer to a third party (the *assignee*) of some or all of the *contractual rights* held by a contractual party (the *assignor*) against another (the *obligor*). The doctrine of privity does not prevent the assignee from enforcing the contractual rights that have been assigned because the rights have been transferred from the assignor to the assignee. A contractual right will be assignable without the consent of the person by whom the duty is owed (the *obligor*) if the identity of the person to whom the duty is owed makes no difference to the obligor.[66] A contractual right is not assignable without the obligor's consent if, in view of its subject matter and the nature of the contract, it is personal "in the sense that the identity of the contractual obligee is material to the contractual relationship itself … or to the contractual performance to be rendered".[67] The terms of a contract may permit the assignment of rights not otherwise assignable or may prohibit the assignment of rights that otherwise would be assignable.[68]

While contractual *rights* can in some circumstances be assigned without the consent of the other contracting party, contractual *obligations* cannot.[69] A third party may, however, be substituted for one of the original contracting parties by a process known as novation.[70] Novation involves the substitution of a new contract between one of the original parties and a substituted party in place of the original contract. This is normally effected by way of an agreement between the original parties and the substituted party, although the original contract may authorise a party to substitute another party in its place without the need for further agreement.[71] The effect of novation is that the contractual relationship between the original parties is brought to an end and privity of contract is then established between the remaining original party and the substituted party.

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63 *Celthene Pty Ltd v WKJ Hauliers Pty Ltd* [1981] 1 NSWLR 606.

64 Compare *The Crown v Clarke* (1927) 40 CLR 227, discussed at [3.180] and see Cavanagh, "The Ultimate Exclusion Clause" (1985) 59 *Australian Law Journal* 67.

65 See, eg, Tolhurst, *The Assignment of Contractual Rights* (2nd ed, 2016) and Seddon and Bigwood, *Cheshire and Fifoot's Law of Contract* (12th Aust ed, 2023), ch 8.

66 *Tolhurst v Associated Portland Cement Manufacturers (1900) Ltd* [1902] 2 KB 660, 668.

67 *Pacific Brands Sport & Leisure Pty Ltd v Underworks Pty Ltd* (2006) 149 FCR 395, [32].

68 *Pacific Brands Sport & Leisure Pty Ltd v Underworks Pty Ltd* (2006) 149 FCR 395, [32]. See also *Leveraged Equities Ltd v Goodridge* [2011] FCAFC 3; (2011) 191 FCR 71, [363] and Seddon and Bigwood, *Cheshire and Fifoot's Law of Contract* (12th Aust ed, 2023), [8.8].

69 *Tolhurst v Associated Portland Cement Manufacturers (1900) Ltd* [1902] 2 KB 660, 668.

70 *Olsson v Dyson* (1969) 120 CLR 365, 388. For a discussion of the distinction between assignment and novation, see *Ashton v Australian Cruising Yacht Co Pty Ltd* [2005] WASC 192, [61]–[63].

71 *Leveraged Equities Ltd v Goodridge* [2011] FCAFC 3; (2011) 191 FCR 71, [299]–[317].

CIRCUMVENTING THE PRIVITY RULE

[11.100] There are several ways in which the privity rule may be circumvented by a person seeking to take the benefit of a contract in which they are not named as a party. In the following discussion, the person making a contractual promise to benefit a third party is referred to as the *promisor*, the other party to the contract as the *promisee* and the third party seeking to enforce the contract as the *beneficiary*. The main circumstances under which the privity rule may be of circumvented are:

1. The promisee may hold rights under the contract on trust for the beneficiary.
2. The beneficiary may be entitled to assert an estoppel against the promisor.
3. The beneficiary may be entitled to claim damages for misleading or deceptive conduct.
4. The beneficiary may be entitled to claim damages in tort.

Trust

[11.110] All but one of the judgments in *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd*[72] pointed to the trust as a means of alleviating some of the injustice occasioned by the application of the privity rule. A contractual right is a form of property (a chose in action) which, like any other form of property, can be held by a trustee on trust for a beneficiary. Where A (the promisor), in a contract with B (the promisee), makes a promise to confer a benefit on C (the beneficiary), the court may discern an intention on the part of B to hold on trust for C the contractual right to enforce that promise. Where such an intention can be discerned, this does not make the beneficiary a party to the contract; rather, it creates an obligation on the part of the promisee to enforce the promise on behalf of the beneficiary. The beneficiary can indirectly enforce the promise by compelling the promisee/trustee to enforce it. In practice, this means that the beneficiary can sue the promisor, provided the promisee/trustee is joined as a defendant.[73]

The difficult question relating to the use of the trust is when the courts will be prepared to imply or infer an intention to create a trust. In some cases, courts have insisted on a clear expression of intention to create a trust and have been unwilling to infer such an intention. In others, the courts have been prepared to infer a trust from the fact that a contract was made for the benefit of a third party.[74] It has been said that uncertainty as to when a trust will be implied or inferred makes the trust an inadequate means of redressing the injustice caused by the privity and consideration rules.[75]

The approach that should be taken to inferring an intention to create a trust of a contractual right was discussed in *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd*. Deane J in that case said:

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72 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 120–1, 135, 140–1, 146–55, 167, 170. See generally Wright, "Trusts Involving Enforceable Promises" (1996) 70 *Australian Law Journal* 911.

73 See *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 135.

74 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 120–1. See also *Wilson v Darling Island Stevedoring and Lighterage Co Ltd* (1956) 95 CLR 43, 71.

75 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 121, citing Corbin, "Contracts for the Benefit of Third Persons" (1930) 46 *Law Quarterly Review* 12.

> [T]he requisite intention should be inferred if it clearly appears that it was the intention of the promisee that the third party should himself be entitled to insist on performance of the promise and receipt of the benefit and if trust is, in the circumstances, the appropriate legal mechanism for giving effect to that intention. A fortiori, equity's requirement of an intention to create a trust will be at least prima facie satisfied if the terms of the contract expressly or impliedly manifest that intention as the joint intention of both promisor and promisee.[76]

Deane J therefore treated intention to create a trust as a question of construction of the contract in its context.[77] Although the intention to create a trust will commonly be a joint intention, it is important to note that it is sufficient if it is the promisee's intention alone.[78] Whether a trust arises depends entirely on the intention of the promisee as the settlor of any trust that is created.[79] Deane J observed that a trust of a contractual promise will more readily be discerned in some classes of contract than in others. In a contract of liability insurance, it is clearly intended that each assured should be entitled to insist on performance of the insurer's promise to indemnify them. In legal terms, this can be construed as an intention that the relevant contractual right should be held on trust for the assured in question.[80] Since there was nothing to negate such an intention, Deane J concluded that Blue Circle held the benefit of Trident's promise to indemnify McNiece on trust for McNiece. Accordingly, his Honour would have given McNiece leave to join Blue Circle as a party to the action so that this trust could be enforced.

Since the case had not been pleaded or argued on the basis of trust, there was no need for the other members of the Court to decide whether Blue Circle held rights against Trident on trust for McNiece. Nevertheless, Mason CJ and Wilson J did attempt to resolve the uncertainty as to when a trust of a contractual right in favour of a third party will be recognised:

> This apparent uncertainty should be resolved by stating that the courts will recognise the existence of a trust when it appears from the language of the parties, construed in its context, including the matrix of circumstances, that the parties so intended. We are speaking of express trusts, the existence of which depends on intention. In divining intention from the language which the parties have employed the courts may look to the nature of the transaction and the circumstances, including commercial necessity, in order to infer or impute intention …[81]

Estoppel

Equitable estoppel

[11.120] The doctrine of equitable estoppel is another means by which equity may alleviate some of the injustice arising from the application of the privity rule. Equitable estoppel will prevent injustice arising from a party relying to their detriment on an expected benefit or entitlement arising from a contract to which they are not a party. Where a beneficiary has been induced by a promisor to assume that they will receive a benefit under a contract with

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76 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 147.

77 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 148.

78 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 149. This was also emphasised by Mason CJ and Wilson J at 121. See also *Gate Gourmet Australia Pty Ltd (in liq) v Gate Gourmet Holding AG* [2004] NSWSC 149, [261].

79 *Mizzi v Reliance Financial Services Pty Ltd* [2007] NSWSC 37, [72].

80 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 149.

81 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 121.

a promisee, and the beneficiary has relied on that assumption in such a way that they will suffer a detriment if it is not fulfilled, then the beneficiary may be entitled to assert an estoppel against the promisor.[82] If, for example, McNiece had been led by Trident to believe that it would have the benefit of indemnity cover under Blue Circle's insurance policy with Trident and, on the faith of that belief, had omitted to obtain its own insurance cover, McNiece might have been entitled to "claim the benefit of the policy by way of estoppel".[83]

The doctrine of equitable estoppel also makes it possible for a person to incur a burden under a contract to which they are not a party. As noted in Chapter 9, a person who is not a party to a contract may be liable where they induce a relying party to act on the faith of an assumption that the inducing party will abide by the terms of the contract.[84]

Estoppel by convention

[11.130] The doctrine of estoppel by convention, which operates where parties have adopted a particular state of affairs as the basis of their relations,[85] may prevent a person who is not a party to a contract under ordinary principles from denying that they are a party.[86] It has also been suggested that estoppel by convention can be used by a beneficiary to enforce a promise made for their benefit provided the beneficiary can show that the promisee, promisor and beneficiary shared an assumption that the beneficiary would receive a benefit under the contract and the beneficiary has relied on that assumption to their detriment.[87]

Torts

[11.140] In some circumstances, a beneficiary who has no contractual rights will be able to enforce an equivalent obligation imposed on the promisor by the law of torts.[88] This will be the case where the contractual duty in question is a duty to take care to avoid harm to the beneficiary, and there is a relationship of proximity between the promisor and the beneficiary which gives rise to a duty of care under the law of negligence. In *Hill v Van Erp*,[89] Mrs Hill was a solicitor retained by Mrs Currey to prepare her will, which included a disposition in favour of Mrs Van Erp. Hill failed to ensure that the will was properly attested, as a result of which the disposition in favour of Van Erp failed. Hill owed a contractual duty of care to Currey. Although Van Erp was not a party to that contract, she would have benefited from it had it been properly performed.[90] Van Erp therefore sued in tort. The High Court accepted that, in the circumstances, Hill owed Van Erp a duty of care and Van Erp was entitled to damages for breach of that duty. The law of tort operated in that case to vindicate fulfilment of Hill's

82 See Chapter 9.

83 See *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 140, 145.

84 *Weir v Hoylevans Pty Ltd* [2001] WASCA 23.

85 See [9.430].

86 See, eg, *Whitehouse v BHP Steel Ltd* [2004] NSWCA 428.

87 Neyers, "Explaining the Principled Exception to Privity of Contract" (2007) 52 *McGill Law Journal* 757, 780, 787.

88 See Fleming, "Tort in a Contractual Matrix" (1995) 33 *Osgoode Hall Law Journal* 661.

89 *Hill v Van Erp* (1997) 188 CLR 159. See also *White v Jones* [1995] 2 AC 207; *Bryan v Maloney* (1995) 182 CLR 609 and Bell and Jocic, "Negligence Claims by Subsequent Building Owners: Did the Life of Bryan End Too Soon?" (2017) 41 *Melbourne University Law Review* 1.

90 *Hill v Van Erp* (1997) 188 CLR 159, 233.

contractual obligation to Currey, which would otherwise have sounded only in ineffective legal remedies.[91]

Misleading or deceptive conduct

[11.150] The making of a contractual promise will, in some circumstances, constitute misleading or deceptive conduct. Section 18 of the *Australian Consumer Law* (Cth)[92] prohibits misleading or deceptive conduct in trade or commerce. A person who suffers loss as a result of such conduct is entitled to recover damages from the person who engages in the conduct.[93]

Where the making of a contractual promise contravenes the statutory prohibition against misleading or deceptive conduct, and a person who is not a party to the contract (the beneficiary) suffers loss as a result of reliance on the promise, then the beneficiary will be entitled to damages. In such a case, the beneficiary is not seeking to enforce the contract but is simply asserting a statutory right to damages. Where the promise in question relates to the future conduct of the promisor, and the beneficiary suffers loss as a result of a failure to fulfil that promise, then there may well be an overlap between equitable estoppel and the beneficiary's statutory rights. Where the contractual promise is a warranty that a particular fact is true,[94] there will generally be no estoppel because the harm suffered by the beneficiary will not result from any inconsistent conduct on the part of the promisor, but rather from the falsity of the warranty.[95]

In *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd*,[96] CCH recovered damages under the *Trade Practices Act 1974* (Cth) in respect of loss suffered as a result of reliance on a promise made in a contract to which CCH was not a party. The contract in question was between AS2000 and Castle Douglas Pty Ltd, by which AS2000 assigned copyright in a computer program to Castle Douglas. By clause 3.1 of that contract, AS2000 warranted that it was entitled to assign the copyright to Castle Douglas and that there was no claim or potential claim against AS2000 for breach of copyright. In fact, the program in question infringed the copyright of a fourth party, who had a claim against AS2000 for breach of copyright. CCH entered into certain other contracts, including a licence agreement with Castle Douglas, in reliance on the contractual warranties made by AS2000 to Castle Douglas. CCH sued AS2000 for damages under the *Trade Practices Act 1974* (Cth). The trial judge found that the making of the warranties constituted misleading or deceptive conduct. This finding was upheld by the Full Federal Court. CCH suffered loss as a result of that misleading conduct and was therefore entitled to relief, notwithstanding "that the misleading conduct is found in the making of a contractual provision, and the complainant does not have contractual privity with the defendant".[97]

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91 *Hill v Van Erp* (1997) 188 CLR 159, 233.

92 See [33.10].

93 See Chapter 33.

94 As in *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd* (1993) 42 FCR 470, discussed later in this section.

95 See [9.490].

96 *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd* (1993) 42 FCR 470.

97 *Accounting Systems 2000 (Developments) Pty Ltd v CCH Australia Ltd* (1993) 42 FCR 470, 506.

Domestic building warranties

[11.160] Most Australian jurisdictions provide protection to purchasers of domestic buildings against defects by implying certain warranties into building contracts (eg, that the work will be carried out with care and skill) and then providing that a subsequent owner of the building can sue for breach of any of the warranties "as if that person was a party to the contract."[98]

REMEDIES AVAILABLE TO THE PROMISEE

[11.170] If a promisee is willing to sue a promisor to enforce a contractual promise to confer a benefit on a third party, the remedies available may not be sufficient to ensure that the third party obtains the promised benefit. In some cases, substantial damages will be available, and in others, specific performance will be decreed. There are, however, some situations in which specific performance will be unavailable and there is doubt as to when the promisee will be entitled to recover substantial damages.

Damages

[11.180] Whether the promisee can recover substantial damages is a vexed question.[99] The purpose of contract damages is to compensate the plaintiff for loss caused by a breach of contract.[100] Where A breaches a promise made to B to confer a benefit on C, it can be said that B will not normally suffer any loss. It is C who has lost the promised benefit and this will only cause loss to B if B has a particular interest in A's performance, such as where payment by A would have discharged a debt owed by B to C. The orthodox view, therefore, is that if non-performance of the promise causes no particular harm to the promisee, then the promisee will only be entitled to nominal damages.[101] Where the promisee holds the relevant contractual rights on trust for the third-party beneficiary, then it seems that the promisee can recover all that the third party could have recovered if the contract had been made with the third party.[102]

In England, the courts have recognised some exceptions to the general rule stated earlier in this section. English courts have recognised certain situations in which a promisee is entitled to damages in respect of the loss suffered by the third party.[103] The general rule itself was

98 *Domestic Building Contracts Act 1995* (Vic), s 9. To similar effect are: *Building Act 2004* (ACT), s 88(3); *Home Building Act 1989* (NSW), s 18D; *Queensland Building and Construction Commission Act 1991* (Qld), Sch 1B, s 27; *Building Work Contractors Act 1995* (SA), s 32(3); *Residential Building Work Contracts and Dispute Resolution Act 2016* (Tas), s 31. Compare *Building Act 1993* (NT), Pt 5A, Div 2 (consumer guarantees rather than contractual warranties).

99 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 118.

100 See Chapter 26.

101 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 118, 158; *Beswick v Beswick* [1968] AC 58; *White v Jones* [1995] 2 AC 207.

102 *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460, 501; *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 118.

103 Exceptions have been recognised in relation to contracts for the carriage of goods being sold to a third party (*Dunlop v Lambert* (1839) 6 Cl & F 600; 7 ER 824) or, more broadly, contracts concerning goods which it is contemplated may be transferred to a third party before the breach occurs (*The Albazero* [1977] AC 774, 847) and building contracts in which it is foreseeable that land will be transferred to a third party (*Linden Gardens Trust Ltd v Leneston Sludge Disposals Ltd and St Martin's Property Corporation v Sir Robert McAlpine Ltd* [1994] 1 AC 85). See also *Darlington Borough Council v Wiltshier Northern Ltd* [1995] 1 WLR 68 and *Alfred McAlpine Construction Ltd v Panatown Ltd* [2001] 1 AC 518, noted later in this section. For a useful discussion

cast into doubt by the English Court of Appeal in *Jackson v Horizon Holidays Ltd*.[104] The Court of Appeal appeared to apply a general principle that a promisee can recover substantial damages in respect of loss suffered by a third-party beneficiary as a result of a breach of contract, even where the promisee did not hold the contractual rights on trust for the third party. In that case, Horizon contracted with Jackson to provide a holiday for Jackson and his family. Jackson sued for damages after the accommodation fell far short of the promised standard. In the English Court of Appeal, Lord Denning MR, with whom Orr LJ agreed, held that where a contract is made for the benefit of a third party, the promisee is entitled to recover damages in respect of the loss suffered by the third party, even where the promisee is not a trustee.[105] Jackson was therefore entitled to recover for the "expense … discomfort, vexation and upset" suffered by the other members of his family.[106] Dicta of the House of Lords in *Woodar Investment Development Ltd v Wimpey Construction (UK) Ltd*[107] indicate that Lord Denning went too far in saying that damages will always be recoverable in respect of loss suffered by a third-party beneficiary. Such damages may only be recoverable in respect of contracts of a particular type, where third parties stand to gain indirectly by performance[108] or where there may be a presumption that the promisee suffered a loss as a result of the deprivation of the third parties.[109]

More recently, in *Alfred McAlpine Construction Ltd v Panatown Ltd*,[110] the House of Lords held, by a majority of 3-2, that where a direct remedy is available to the third-party beneficiary against the promisor (as, in this case, under another contract), then the promisee is entitled to only nominal damages. The correctness of *Jackson v Horizon Holidays Ltd* was not considered. The dissenting judges, Lord Goff and Lord Millett, held that the promisee could be seen as suffering a loss as a result of not receiving the bargain for which it had contracted. The promisee was therefore entitled to substantial damages to protect its "performance interest" – that is, its interest in the performance of contractual obligations owed to it.[111] This approach would justify the result in *Jackson v Horizon Holidays Ltd*, but on a different basis.

In *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd*, Mason CJ and Wilson J doubted the basis of the decision in *Jackson v Horizon Holidays Ltd* and described its uncertain status as a "telling indictment against the law as it presently stands".[112] Brennan J also noted the uncertainty and suggested that a development of the damages rules would be

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of the decisions leading up to the last, see Treitel, "Damages in Respect of a Third Party's Loss" (1998) 114 *Law Quarterly Review* 527.

104 *Jackson v Horizon Holidays Ltd* [1975] 3 All ER 92.

105 *Jackson v Horizon Holidays Ltd* [1975] 3 All ER 92, 95–6.

106 *Jackson v Horizon Holidays Ltd* [1975] 3 All ER 92, 96.

107 *Woodar Investment Development Ltd v Wimpey Construction (UK) Ltd* [1980] 1 WLR 277, 283, 297, 300.

108 *Woodar Investment Development Ltd v Wimpey Construction (UK) Ltd* [1980] 1 WLR 277, 283, 297.

109 *Woodar Investment Development Ltd v Wimpey Construction (UK) Ltd* [1980] 1 WLR 277, 300.

110 *Alfred McAlpine Construction Ltd v Panatown Ltd* [2001] 1 AC 518.

111 *Alfred McAlpine Construction Ltd v Panatown Ltd* [2001] 1 AC 518, 553, 590, adopting a principle articulated by Lord Griffith in *Linden Gardens Trust Ltd v Leneston Sludge Disposals Ltd and St Martins Property Corporation Ltd v Sir Robert McAlpine Ltd* [1994] 1 AC 85, 96–8, which has received considerable support in the academic literature. See further Coote, "The Performance Interest, Panatown, and the Problem of Loss" (2001) 117 *Law Quarterly Review* 81.

112 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 119.

a more appropriate means to redress any injustice caused by the privity rule than accepting a third party's right to sue.[113]

Specific performance

[11.190] Specific performance is a particularly useful remedy for the enforcement of a promise made for the benefit of a third party. The remedy can be sought by the promisee and, if granted, will result in the third party obtaining the promised benefit. Specific performance will only be granted where damages are inadequate, but it is accepted that damages will be an inadequate remedy for breach of a promise to confer a benefit on a third party, even where the promise is simply to pay money.[114] There are, however, many situations in which the remedy of specific performance will be unavailable or unsuitable. For example, the courts will not decree specific performance where the contract involves the performance of personal services, the supervision of the court would be required to enforce the decree or the decree would be futile.[115] In cases where performance is required at a particular time or defective performance has been tendered, such as in *Jackson v Horizon Holidays Ltd*,[116] specific performance is not a suitable remedy. Moreover, specific performance will only be available where the promisee is willing or obliged by a trust to sue on behalf of the third party.[117]

REASONS FOR ABOLISHING THE PRIVITY DOCTRINE

[11.200] As Mason CJ and Wilson J noted in *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd*,[118] numerous criticisms have been directed at the doctrine of privity and there is much substance in these criticisms. The arguments in favour of reforming the privity rule were considered by the English Law Commission[119] and were neatly summarised in an article by Law Commissioner Burrows.[120] Those arguments are as follows:

1. The privity rule thwarts the intentions of contracting parties. Even where the promisor and promisee unambiguously manifest an intention that the third party should obtain the right to enforce the promise, the privity rule prevents the courts from giving effect to that intention. The privity rule therefore operates as a constraint on freedom of contract.
2. The privity rule may cause injustice to the third party, by denying a benefit that the third party reasonably expects to receive and by denying a right the third party might reasonably expect to have. Where the third party relies to their detriment on the contractual promise, injustice may be avoided by the availability of equitable estoppel.

113 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 139.

114 *Coulls v Bagot's Executor and Trustee Co Ltd* (1967) 119 CLR 460, 478, 503; *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 119, 138, 158; *Beswick v Beswick* [1968] AC 58.

115 See [30.160].

116 *Jackson v Horizon Holidays Ltd* [1975] 3 All ER 92.

117 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 120.

118 *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107, 118.

119 *Privity of Contract: Contracts for the Benefit of Third Parties* (Law Com No 242, 1996).

120 Burrows, "Reforming Privity of Contract: Law Commission Report No 242" [1996] *Lloyd's Maritime and Commercial Law Quarterly* 467, 468–71.